

Credit Memo - Deere & Company

TO: Credit Committee

FROM: Senior Credit Analyst

DATE: May 15, 2026

RE: Credit Assessment for Deere & Company (DE) - Revolving Credit Facility Renewal

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This memorandum presents a credit assessment of Deere & Company (Ticker: DE, CIK: 0000315189) to support the renewal of a \$1.5 billion revolving credit facility. The analysis is based on the company's recent SEC filings, specifically the Q1 FY2026 10-Q and FY2025 10-K. Deere operates in the industrials sector. Based on a review of its financial position, profitability, and risk profile, I recommend approval of the facility renewal with enhanced covenants.

Executive Summary

Deere & Company demonstrates a strong and resilient financial profile suitable for the continued extension of credit. As of Q1 FY2026, the company reported total assets of \$103.44 billion against total liabilities of \$77.08 billion and stockholders' equity of \$26.30 billion, yielding a Debt-to-Equity Ratio of approximately 2.93x. Its liquidity position is robust, with cash and cash equivalents of \$6.80 billion representing a Cash Coverage Ratio of 8.82% of total liabilities. While revenue from Q1 FY2026 was \$9.61 billion and net income was \$0.66 billion, the full-year FY2025 performance was substantial with revenues of \$45.68 billion and net income of \$5.03 billion, indicating strong annual earning power. Despite the high leverage, the company's significant asset base and consistent cash generation mitigate risk. Therefore, I recommend approval of the \$1.5 billion revolving credit facility renewal, subject to the implementation of a maximum Debt-to-Equity covenant of 3.0x and a minimum Cash Coverage covenant of 7.0%.

Company Overview

Deere & Company is a publicly traded corporation listed under the ticker symbol DE. The company's Central Index Key (CIK) with the U.S. Securities and Exchange Commission is

0000315189. It operates within the Industrials sector, as classified by its SEC filings. The company's financial disclosures cover quarterly (10-Q) and annual (10-K) reporting periods, with the most recent data available from Q1 FY2026 and the fiscal year ended FY2025.

Financial Analysis

An analysis of Deere's recent financial performance reveals a pattern of strong annual results with some quarterly volatility. For the full fiscal year 2025 (FY2025), the company generated revenues of \$45.68 billion and net income of \$5.03 billion. The trailing nine-month period ending Q3 FY2025 showed cumulative revenues of \$33.29 billion and net income of \$3.96 billion. The second quarter of FY2025 contributed revenues of \$21.27 billion and net income of \$2.67 billion, while the first quarter of FY2026 reported revenues of \$9.61 billion and net income of \$0.66 billion. Operating income followed a similar trend, with FY2024 and FY2023 both showing strong results of \$12.96 billion and \$9.04 billion, respectively. This indicates the business is subject to seasonal and cyclical patterns, though full-year performance remains robust.

Profitability metrics show the company's ability to generate gross profit. In FY2020, Deere reported quarterly gross profits ranging from \$1.45 billion to \$2.19 billion, with a full-year figure of approximately \$1.93 billion to \$2.19 billion across quarters. This compares to quarterly gross profits of \$1.97 billion in FY2019. While the data does not provide a single consolidated annual gross profit figure for recent years, the FY2020 quarterly figures suggest a stable to improving gross profit generation capability.

Key credit ratios calculated from the Q1 FY2026 balance sheet highlight the company's leverage and liquidity. The Debt-to-Equity Ratio, calculated as total liabilities divided by stockholders' equity, stands at approximately 2.93x ($\$77.079 \text{ billion} / \26.300 billion) as of Q1 FY2026. This ratio was slightly higher at 3.08x ($\$79.989 \text{ billion} / \25.950 billion) at the end of FY2025. The Cash Coverage Ratio, measured as cash and cash equivalents as a percentage of total liabilities, is 8.82% ($\$6.798 \text{ billion} / \77.079 billion) in Q1 FY2026, compared to 10.35% ($\$8.276 \text{ billion} / \79.989 billion) at FY2025 year-end. A simple Liquidity Ratio, cash as a percentage of total assets, is 6.57% ($\$6.798 \text{ billion} / \103.436 billion) in Q1 FY2026, compared to 7.81% ($\$8.276 \text{ billion} / \105.996 billion) at FY2025 year-end.

Operating expense analysis indicates consistent investment in innovation and overhead. Research and Development (R&D) expense for Q1 FY2026 was \$554 million, representing 5.76% of quarterly revenue (\$9.611 billion). For the full year FY2025, R&D expense was \$2.311 billion, which was 5.06% of revenue (\$45.684 billion). Selling, General and Administrative (SG&A) expense was \$972 million in Q1 FY2026, or 10.11% of revenue, and \$4.663 billion for FY2025, or 10.21% of revenue. These ratios demonstrate a stable cost structure and a commitment to R&D spending as a percentage of sales.

Credit Risk Assessment

The primary credit risk for Deere stems from its significant financial leverage. With a Debt-to-Equity Ratio near 3.0x, the company carries a substantial debt burden relative to its equity base. This leverage amplifies the impact of any downturn in its cyclical industrial sector on equity returns and debt serviceability. The large absolute size of the balance sheet, with total assets of

\$103.44 billion in Q1 FY2026, indicates a capital-intensive business model. While this asset base supports operations, it also represents concentration risk if asset values were to decline significantly.

A secondary risk factor is the variability in quarterly earnings. Diluted Earnings Per Share (EPS) declined from \$18.50 for the full year FY2025 to \$2.42 in Q1 FY2026. While some of this decline is attributable to seasonality (the first quarter is typically the weakest), the magnitude of the drop warrants monitoring. A sustained decline in EPS would pressure net income, reduce retained earnings, and could ultimately increase leverage ratios over time, potentially violating covenants. The company's operating income history shows similar volatility, with FY2024 at \$9.04 billion and FY2023 at \$12.96 billion, indicating sensitivity to the economic cycle.

Recommendation and Covenant Suggestions

Based on the comprehensive financial analysis, I recommend approval of the renewal of the \$1.5 billion revolving credit facility for Deere & Company. The company's strong annual revenue and net income generation, substantial asset base, and adequate liquidity position support continued creditworthiness. The risks associated with its leverage and earnings cyclicalities are manageable with appropriate covenant protections.

To mitigate the identified risks, I recommend incorporating two key financial covenants into the credit agreement. First, a Maximum Debt-to-Equity Covenant set at 3.0x, calculated as total liabilities divided by stockholders' equity as reported quarterly. This threshold is based on the company's current ratio of 2.93x (Q1 FY2026) and provides a small cushion for normal fluctuations. Second, a Minimum Cash Coverage Covenant set at 7.0%, defined as cash and cash equivalents as a percentage of total liabilities, measured quarterly. This is slightly below the current Q1 FY2026 level of 8.82% and the FY2025 level of 10.35%, ensuring the company maintains a minimum liquidity buffer. These covenants will provide early warning triggers if the company's financial position deteriorates.